1.4 Supply and Demand

Video: Supply and Demand (Crash Course Economics)

Markets and Voluntary Exchange

A _____ is any place where buyers and sellers meet to exchange goods and services.

The key to markets is _____: buyers and sellers willingly decide to make a transaction, and both feel better off.

The same process happens in the _____: a cashier values his wage more than staying home, and the owner values his labor more than the wage.

Price Signals

Competitive markets are good at allocating scarce resources toward their most _____ use.

If farmers produce too many strawberries, the price will fall. If they don't produce enough, buyers will bid up the price.

The information markets generate to guide resources is called _____.

The Laws of Demand and Supply

Law	Rule	Shape of curve
	Price goes up, people buy less; price goes down, people buy more	Downward sloping
	Price goes up, sellers produce more (more profit); price goes down, they produce less	_____ sloping

Equilibrium

Situation	What happens
Price too high ($10)	Producers make a lot, consumers buy little: a _____
Price too low ($1)	Buyers want a lot, producers make little: a _____

Supply equals demand	_____ and equilibrium quantity

Shifts in Supply and Demand

In winter, colder temperatures make strawberries harder to grow, so the supply curve shifts to the left.

Only four things can happen in a market: supply can decrease, supply can increase, demand can decrease, or demand can increase.

If demand for strawberries falls, most economists argue a government subsidy would put resources toward something society doesn't value.

In 2014, gas prices fell because weaker economies in Europe and China _____ demand, while new _____ technology increased supply.

Limits of Markets

Some services, like _____, should not be run with a market approach.

There is a shortage of human organs for transplants. An unregulated market raises ethical problems, but economists generally support creating kidney _____, which match willing donors with strangers. Markets sometimes need to be _____.

Supply and demand are not absolute laws like _____, because they rely on humans acting as buyers and sellers.

Think About It

Think of something you buy often. Describe a time its price changed and whether supply or demand likely caused it. _____